11

What Does Your Promise Mean, Governor?

Reflections on Currency Management

Most people associate the Reserve Bank with the printing of currency. When I travelled around the country, especially on outreach visits, I used to be fond of visiting primary schools. It was easy to make a connection with the children as they recognized the visiting VIP as the one who signs on the currency notes. Soon enough, the conversation with the children turned to currency matters. Little children would ask if the reason we don't have enough money is because the governor is not able to sign fast enough! Slightly older children would give these little ones a reproving look of 'how can you be so dumb?' and come up with their own question: 'Why doesn't the Reserve Bank just print more money so that everyone in the country can have more of it and India can become a rich country?' Explaining to the children that it does not work that way, what really matters is not how much money we print but the value of goods and services we produce in the country, and that if we just printed more money without increasing production, all we would get is higher prices, is a pedagogical challenge I have never successfully mastered.

The Governor's Promise

Our currency notes[1] carry a promise by the governor. For example, a ₹10 note has a promise on it, saying: 'I promise to pay the bearer a sum of ten rupees.' A woman actually having a ten-rupee note in her hand can be quite perplexed by this promise. What does it mean for the governor of the Reserve Bank to promise to pay you ten rupees when you actually have ten